The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

SOX (Tue close)
11,482.51 +3.60% · MU $928.76 (+2.77%) · KOSPI (Wed close) 6,012.44 (+6.63%) · SK hynix ₩1,487,000 (+10.89%) · Samsung ₩242,000 (+9.01%)

DDR5 16Gb SPOT (WED)
$61.33 flat · TrendForce 2026-10-28 11:00 GMT+8 · DDR4 16Gb $82.92 (+0.36%) · DDR4 8Gb $46.69 (−0.76%)

LEAD STORY

EARNINGS · SK HYNIX

SK Hynix Tops ₩100 Trillion in Quarterly Sales and Says Memory Stays Short Through 2030

Third-quarter sales and operating profit beat forecasts. The company says long-term deals with 14 customers cover more than half of its 2027–28 capacity and it will return about ₩100 trillion this year. Seoul jumped back above 6,000.

By the Memory Cycle Desk · Tel Aviv · ~08:50 IST Wednesday (UTC+2) · US closes from Tuesday · Korea/Japan Wednesday closes · CONFIRMED unless marked

KEY NUMBERS · US TUESDAY CLOSES, KOREA/JAPAN WEDNESDAY CLOSES

MEMORY

Micron (Tue)	**$928.76 (+2.77%)**
Sandisk / WDC / Seagate (Tue)	**+3.92% / +6.95% / +3.67%**
SK hynix (Wed close)	**₩1,487,000 (+10.89%)**
Samsung (Wed close)	**₩242,000 (+9.01%)**
Kioxia (Wed close)	**¥14,340 (+13.76%)**
Won per dollar	**1,338.4**

RESULTS AND PRICES

SKH Q3 sales / op. profit	**₩104.6T / ₩83.3T**
LSEG consensus	**₩98.3T / ₩76.7T**
SKH Q3 ASP q/q (DRAM / NAND)	**+high-20s% / +mid-20s%**
Seagate FQ2 sales guide	**$4.8B (Street ~$4.53B)**
DDR5 16Gb spot (Wed)	**$61.33 (flat)**
WTI / US 10-year	**~$101.5 / 4.993%**

What this shows: SK hynix beat forecasts on sales and operating profit by about 6–9%, and Korean memory shares and Kioxia rose sharply. US memory stocks rose Tuesday before Seagate's report, and Seagate fell after the close. Spot DRAM was flat. Korean and Japanese prices are Wednesday closes (15:30 local, 08:30 IST). Sources: SK hynix, CNBC (LSEG), Yahoo Finance, TrendForce, Seagate.

SK hynix reported third-quarter sales of ₩104.6 trillion, up 32% from the second quarter and the first quarter above ₩100 trillion. Operating profit was ₩83.3 trillion, an 80% margin. LSEG consensus was ₩98.3 trillion and ₩76.7 trillion (CNBC). Net profit fell to about ₩39.8 trillion after currency and Kioxia valuation losses. DRAM prices rose by a high-20s percentage from the second quarter and NAND by a mid-20s percentage. The company expects fourth-quarter DRAM shipments up by a mid-20s percentage and HBM4 to overtake HBM3E (company release, Moneycontrol).

Management said long-term agreements with 14 customers now cover more than half of 2027 and 2028 capacity, and it expects supply to stay short through 2030. It sees 2027 demand growth in the mid-20s percent for DRAM and the high teens for NAND, and capital spending "significantly" higher next year. Returns for 2026 total about ₩100 trillion, including a new ₩20 trillion buyback and a ₩20,000-a-share dividend, above the ₩60 trillion Korean press had reported. It also shelved the Solidigm IPO. Seoul

rallied: KOSPI closed at 6,012.44, up 6.63%, back above 6,000; SK hynix rose 10.9% to ₩1,487,000, Samsung 9.0% to ₩242,000, SK Square 11.2% and Kioxia 13.8% in Tokyo (Yonhap, Aju Press). Management also said PC and phone volumes are falling as memory prices rise.

Our call: late upcycle, tight through 2027 and now booked into 2028. Slightly tighter than yesterday on how far ahead capacity is sold. The offsets are slower fourth-quarter price gains, larger 2027 capex budgets and China's first HBM3E. CYCLE SIGNAL: CAPACITY SOLD YEARS AHEAD

STORAGE · HARD DRIVES

Seagate Beats and Guides Above Forecasts, but the Stock Slips After Hours

Seagate's fiscal first-quarter revenue rose 61% to $4.23 billion. Gross margin was 57.8%, up from 52.7% last quarter, and EPS was $7.68, against a guide of $4.10 billion and $7.30. It guided the December quarter to $4.8 billion and $9.20 a share; the Street was near $4.53 billion and $8.58. Management said the "vast majority" of nearline exabyte supply is allocated under long-term agreements through calendar 2028, some through 2030. Exabyte shipments grew 21% from a year earlier, slower than 34% last quarter. The shares closed up 3.67% at $667.85 and then fell about 6–7% after hours (CNBC, Investing.com). BEAT, RAISE · GROWTH SLOWS

SUPPLY · CHINA AND U.S. CAPACITY

China's CXMT Moves Into HBM3E at Low Yields as Solidigm Floats a $45 Billion U.S. Plant

CXMT plans limited HBM3E production within about two months, with yields of 20–30% against about 70% at SK hynix, and performance closer to HBM3. It has sent samples to Chinese AI-chip designers (Reuters, sources). Separately, SK hynix's Solidigm is in talks with the Commerce Department on a $45 billion US NAND plant, with New York a candidate. That is tied to approval for upgrading its Dalian, China plant (Bloomberg). REPORT · NOT CONFIRMED BY THE COMPANIES Both are new supply, but neither adds meaningful bits before 2028. Read them alongside SK hynix's higher 2027 capex: they set up the next downturn, not this one. 2028 SUPPLY RISK

PRICES · LABOR

DRAM Price Gains Slow in the Fourth Quarter, and Micron's Taiwan Talks End Without a Deal

Digitimes reports that fourth-quarter DRAM price growth has slowed sharply. At the same time, shortages are worsening: suppliers are restricting shipments, and the headline puts the supply squeeze at up to 50%. Allocation now matters more than price. TrendForce on Oct. 20 still saw fourth-quarter DRAM prices up about 20% from the third quarter. Spot was flat Wednesday: DDR5 16Gb at $61.33 and DDR4 16Gb up 0.36% at $82.92. In Taiwan, the second round of talks between Micron and its Taoyuan union ended Tuesday without agreement. A third session is tentatively set for Nov. 6 (Liberty Times). MOMENTUM SLOWS · LABOR WATCH

FROM THE INBOX · SINCE OCT 27, 08:15 IST

NEW **October contracts up only single digits.** Citing Digitimes, Jefferies says October DDR4 and DDR5 contract prices rose single digits, below the double digits expected, as PC and phone demand weakens and Chinese supply rises. Jefferies daily

NEW **SK hynix at about 3x 2027 earnings.** Cantor (Overweight, ADR target $250) puts the stock at about 3x CY27 EPS of $42.50. On Seagate, Cantor's target is $1,000; Goldman (Buy) says Toshiba's capacity plans could cap hard-drive multiples. Cantor, Goldman via semis digest

ON X · SINCE LAST EDITION · IST

@jukan05 · Oct 28 02:45
SK hynix call: DRAM and HBM capacity virtually sold out through 2029; LTAs cover about half of capacity.
x.com/.../2115243587890041019

@jukan05 · Oct 27 09:15 UNCONFIRMED
Korean media: Alibaba, Tencent and ByteDance are seeking 10-year memory LTAs, through 2035.
x.com/.../2114979317977665829

@pequityresearch · Oct 27 23:47
Seagate: the "vast majority" of nearline exabyte supply is allocated under LTAs through 2028, some through 2030.
x.com/.../2115198644085551490

@wallstengine · Oct 27 13:33 REPORT
Business Insider: Amazon's devices unit forecasts a $612 million 2026 gross loss against a $438 million target, citing memory costs.
x.com/.../2115044131546574865

CYCLE TRACKER · SLIGHTLY TIGHTER: CAPACITY SOLD FURTHER AHEAD; MOMENTUM AND CAPEX ARE THE OFFSETS

GAUGE	TODAY VS OCT 27 (KPI WATCH LIST)	NUDGE
Contract ROC	SKH Q3 DRAM ASP +high-20s%; but Q4 gains "slowed sharply" (Digitimes), October single digits (Jefferies); TrendForce Q4 ~+20%	**Slowing, still up**
LTAs / lead times	SKH: 14 customers, more than half of 2027–28 capacity; Seagate nearline through 2028, some to 2030	**Longer**
HBM	Requests more than 2x supply after the spec cut (SKH call via X); HBM4 overtakes HBM3E in Q4; CXMT HBM3E at 20–30% yields	**Tight**
Capex / new supply	SKH 2027 capex "significantly" higher; Solidigm $45B US plant in talks (report); CXMT enters HBM	**Rising (2028 risk)**
Demand / de-spec	SKH says PC and phone volumes are falling on cost; Amazon devices loss on memory (report); Galaxy A −20% (carry)	**Yellow flag holds**

How to read this: each row is a cycle gauge and its direction since yesterday. Supply got tighter and is sold further ahead; price momentum, consumer demand and capex point the other way, mostly for 2028.

VERDICT VS PREVIOUS CALL (NO. 21, OCT 27)
Late upcycle; tight through 2027 and now booked into 2028. Slightly tighter: SK hynix has more than half of 2027–28 capacity under LTAs and HBM requests above 2x supply; Seagate is sold through 2028. Offsets: slower Q4 contract gains, softer PCs and phones, and 2027 capex step-ups that seed 2028 supply.

EVENTS CALENDAR · OCT 28–NOV 10 · ISRAEL TIME (IST, UTC+2)

Wed 28	FOMC 20:00 · KLA, Microsoft, Alphabet after the US close (22:00+)	AI capex
Thu 29	Samsung 3Q26 call 03:00 · ECB · US GDP · Sandisk FQ1 (call 22:30) · Intel, Amazon (23:00)	NAND
Fri 30	BoJ · Tokyo Electron · Kioxia H1 (~11:45) · CXMT Q3 by Oct 31	NAND
Sun Nov 1	Korea October exports · US clocks go back	Trade
Mon–Tue Nov 2–3	Apple FQ4 · Supermicro · AMD · US midterms	AI
Nov 6–10	Micron Taoyuan union, third round (Nov 6, tentative) · Taiwan October monthly sales (by Nov 10)	Labor · demand

What this shows: dated events that could move the call; Samsung and Sandisk on Thursday test SK hynix's sold-out message.

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #22 · Oct 28, 2026